

Done!

Cambridge
International
AS & A Level

Cambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

ECONOMICS

Paper 1 Multiple Choice

9708/12**October/November 2017****1 hour**

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

*Zavak mustaq**Solved with reasons!**Jul*This document consists of **12** printed pages.

★ A renewable resource is a resource which can be used repeatedly and replaced naturally. Examples include oxygen, fresh water, solar energy and biomass. New resources may include goods or commodities such as paper and leather. Gasoline, coal, natural gas, diesel, plastics and other fossil fuels are not renewable.

Unlimited wants, limited resources

- 1 To overcome the problem of scarcity, countries with few natural resources need to concentrate on the quality of human resources.

Which set of policies would be most appropriate?

	natural resources policy	human resources policy
☒ A	develop <u>renewable</u> energy supplies	<u>improve education and training</u>
B	plan the allocation of resources	discourage automation
C	protect land resources	protect jobs in manufacturing
D	restrict imports of raw materials	restrict influx of skilled migrants

Quality of human resources

- 2 A government decides to subsidise farms producing milk in its country.

Which question about this decision is a normative question rather than a positive question?

- A How much will milk production increase?
☒ B How should essential products, such as milk, be produced?
 C How will employment in the milk industry change?
 D How will milk prices change?

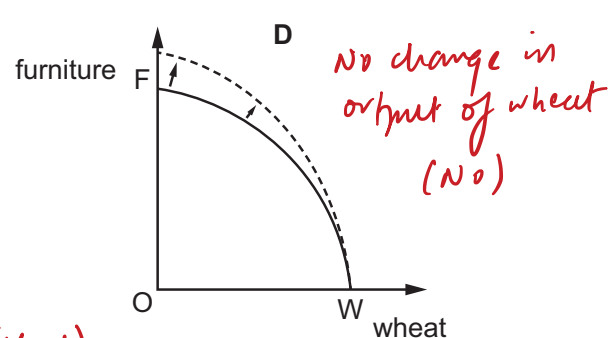
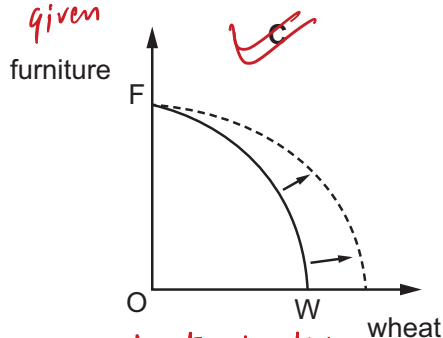
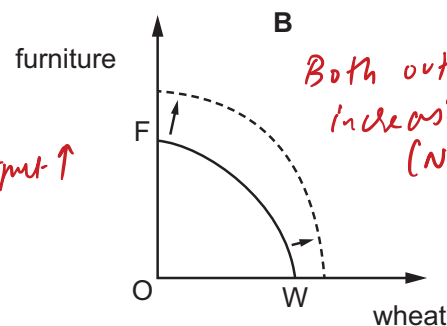
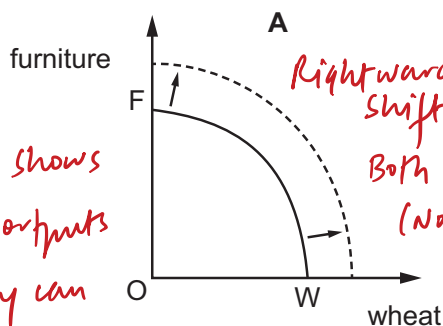
★ A positive question is one that can be falsifiable, or put more simply, has a yes/no answer. Think of a positive question as a "how is the world" question. A different kind of question does not ask how the world is, but how it "should be." These are referred to as "normative" questions.

- 3 Economy X uses its resources in the labour-intensive production of wheat and wooden furniture as shown by the production possibility curve FW.

With the help of new strains of wheat seeds, X increased yields and shifted to a new production possibility curve. *only wheat's output increased*

Which diagram depicts this change?

★ Production possibility curve shows combinations of outputs that an economy can produce with its given resources!



* A medium of exchange is an intermediary instrument used to facilitate the sale, purchase or trade of goods between parties. For an instrument to function as a medium of exchange, it must represent a standard of value accepted by all parties. In modern economies, the medium of exchange is currency.

'Negative'

3

4 What is most likely to severely affect the 'ability' of money to act as a medium of exchange?

A a devaluation of a country's rate of exchange for foreign currency (*more Trade*)

B an increase in the money supply, $M^s \uparrow$, $R \downarrow$, $ER \downarrow$, Depreciates, *more trade*

☒ C a very high rate of inflation [*Erodes the value of money*]

D a very high rate of interest, *more saving, store of value function*

"not cause a shift"

5 What would not affect the position of the demand curve for wigs?

A an increase in incomes (*Shift*)

B a reduction in the price of hairdressing (*complementary goods*)

C an increase in wigs worn by television celebrities (*Shift*) (*Demand ↑*) (*Advertising*)

☒ D a reduction in the price of wigs (*Movement along the demand curve*)

* The impact that inflation has on the time value of money is it decreases the value of a dollar over time. Inflation increases the prices of goods and services over time, effectively decreasing the amount of goods and services you can buy with a dollar in the future as opposed to a dollar today

6 In which situation is the demand for a product said to be price elastic?

A The quantity demanded responds to a change in price. (*Law of demand*)

B An increase in price brings about a decrease in the quantity demanded. (*Law of demand*)

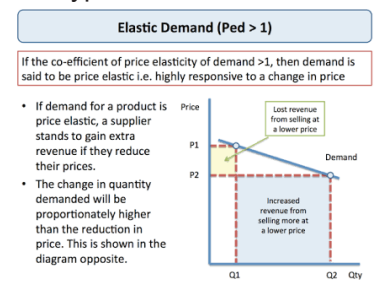
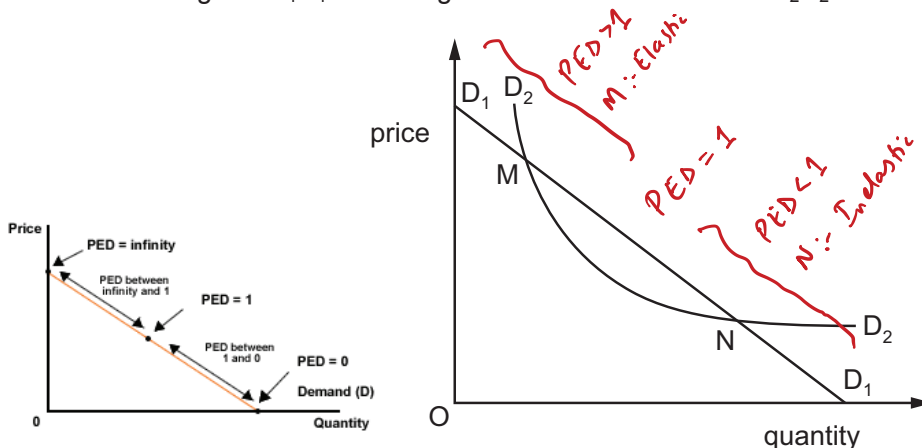
C An increase in price induces consumers to spend more on the product. (*No*)

☒ D A decrease in price brings about an increase in revenue. $P \downarrow QD \uparrow TR \uparrow$

[A small change in price brings a larger % Δ in QD]

'Unitary demand'

7 In the diagram D_1D_1 is a straight line demand curve and D_2D_2 is a rectangular hyperbola curve.



* Along the demand curve, price elasticity of demand is different at each price level.

Which statement is correct?

A D_2D_2 is more elastic than D_1D_1 at point M.

☒ B D_2D_2 is more elastic than D_1D_1 at point N.

It Decreases

C The elasticity of demand increases on moving down both curves.

D The elasticity of demand is inelastic at point M on both curves.

No, it's elastic!

- 8 Over a four year period, as the price of new houses increases, the price elasticity of supply for new houses falls, as shown. All new houses were sold.

*Inelastic supply
[PES falls]*

	supply of new houses	price of new houses (\$)	price elasticity of supply
year 1	10 000	100 000	—
year 2	10 250	110 000	0.25
year 3	10 450	125 000	0.13
year 4	10 600	140 000	0.12

Inelastic supply

What shows price elasticity of supply became more inelastic from year to year?

- A Dollar revenues to house builders declined each year. *(It increased)*
 B Each year, the government released more land for house building. *(No information)*
 C The proportionate price change was greater than the proportionate supply change. *[Inelastic supply]*
 D The proportionate price change was the same as the proportionate supply change.

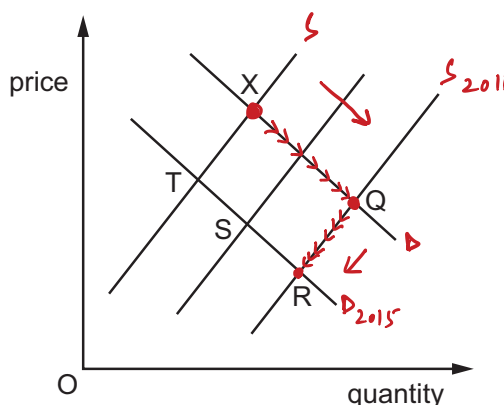
"Unitary supply"

- 9 Prices of gold, silver and copper fell considerably in 2011 and again in 2015. The fall in 2011 was said to be because miners increased production. The fall in 2015 was because demand, especially from China, decreased.

Supply ↑

Demand ↓

Assuming that the equilibrium before 2011 was X, how would these movements in 2011 and subsequently in 2015 be shown on the demand and supply diagram?



Supply ↑

Demand ↓

	initial equilibrium	2011 equilibrium	2015 equilibrium
A	X ✓	Q	R
B	X ✓	R	Q
C	X ✓	S	R
D	X ✓	T	S

5

X demand x 2 ⇒ market demand

- 10 Consumer X is the largest of five consumers and buys 50% of sales.

The table shows the quantity of the good demanded by consumer X and the market supply of the good.

price \$	demand from consumer X	market supply
4	20	28
6	16	<u>32</u>
8	12	40
10	10	45

Market demand

$20 \times 2 = 40$

$16 \times 2 = \underline{32}$

$12 \times 2 = 24$

$10 \times 2 = 20$

What would be the market equilibrium price?

A \$4

☒ B \$6

C \$8

D \$10

- 11 What does **not** happen when price acts as a means to allocate resources?

- ☒ A Price determines the supply of public goods. *[It is always sole provision by govt]*
- ☐ B Price operates in the markets ^{yes} for both goods and factors of production.
- ☐ C Price recognises consumers' ^{yes} ability to pay rather than consumers' needs.
- ☐ D Price signals to producers which goods are most profitable.
- Part of price mechanism!*

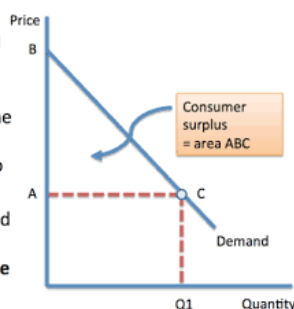
- 12 What is meant by consumer surplus?

- A the amount of money that remains after consumers have made their purchases
- ☒ B the difference between how much a consumer is willing to pay for a good and the amount paid
- C the difference between the amount of a good that's bought by a consumer and the amount consumed
- D the difference between the price paid for a good and the cost of producing it

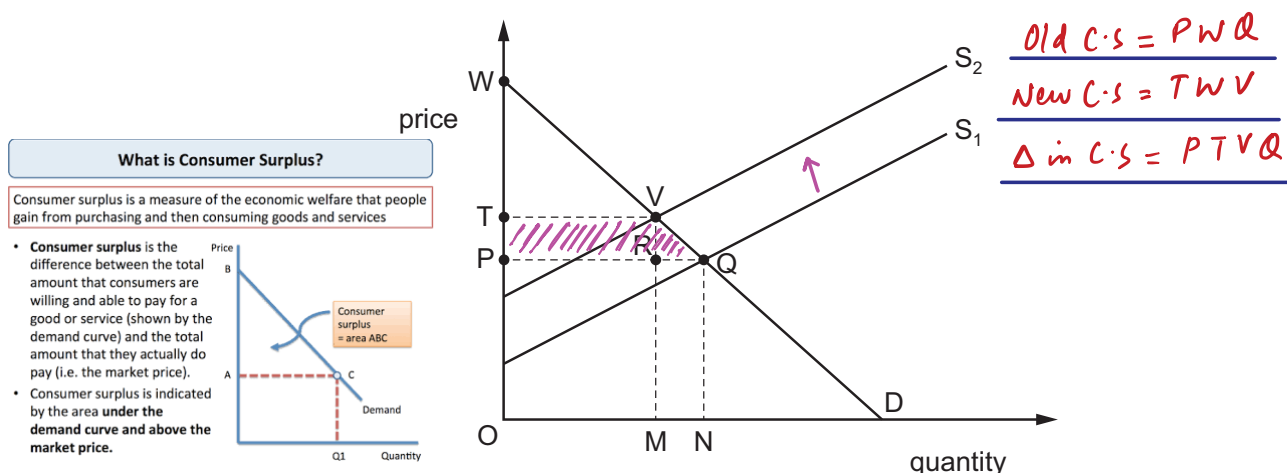
What is Consumer Surplus?

Consumer surplus is a measure of the economic welfare that people gain from purchasing and then consuming goods and services

- **Consumer surplus** is the difference between the total amount that consumers are willing and able to pay for a good or service (shown by the demand curve) and the total amount that they actually do pay (i.e. the market price).
- Consumer surplus is indicated by the area **under the demand curve and above the market price**.



13 In the diagram, S_1 is the original supply curve and D is the original demand curve.



If supply shifts to S_2 , which area represents the change in consumer surplus?

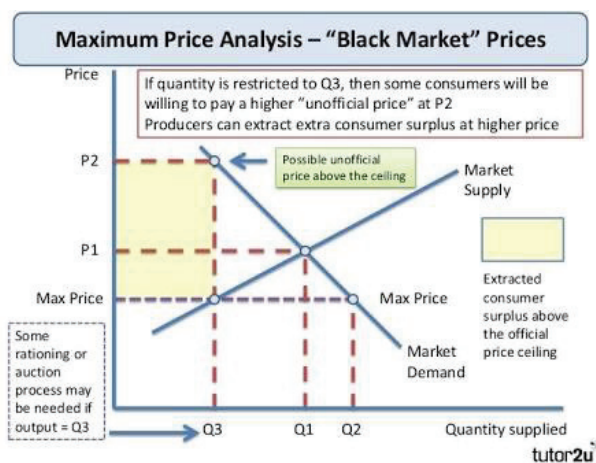
- ☒ A PQVT B PQW C PRVT D TVW

14 After a series of poor harvests, a government imposes an effective maximum price on cereals.

What would be a consequence of this policy?

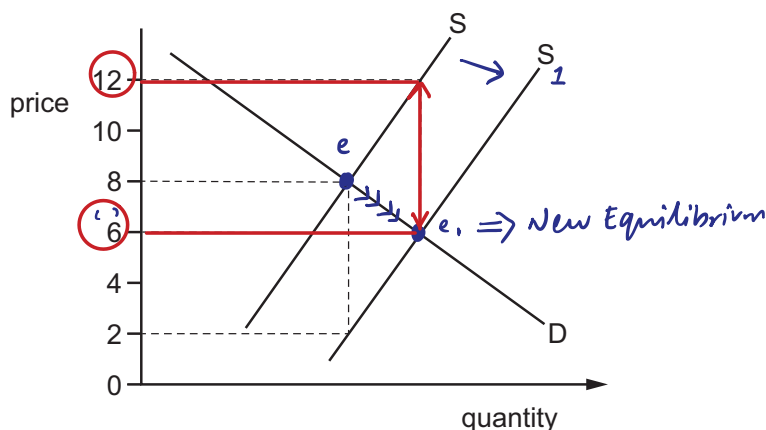
- A Both rich and poor people would satisfy their demands equally. (No)
- B Illegal buying and selling through a black market would be prevented. (It can't)
- ☒ C Rationing would be necessary to ensure a fair distribution of cereals. (Yes)
- D The market would fail to clear leaving a surplus of cereals. (Shortage will exist)

★ Rationing is the controlled distribution of scarce resources, goods, or services, or an artificial restriction of demand. Rationing controls the size of the ration, which is one's allowed portion of the resources being distributed on a particular day or at a particular time.



- 15 The diagram shows the demand and supply curves of a commodity before and after a specific tax is removed.

Specific tax removed,
Supply ↑



What is the tax per unit of output and what is the price after the removal of the tax?

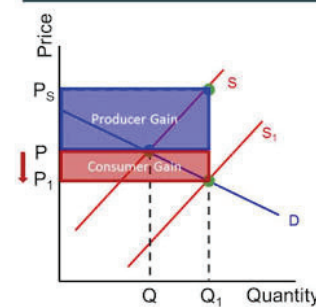
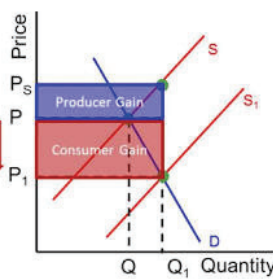
	tax per unit	price after the removal of the tax
☒ A	6	6 ✓
☐ B	6	8
☐ C	4	6 ✓
☐ D	4	8

Tax per unit, vertical distance between two supply curve.

$$12 - 6 = '6'$$

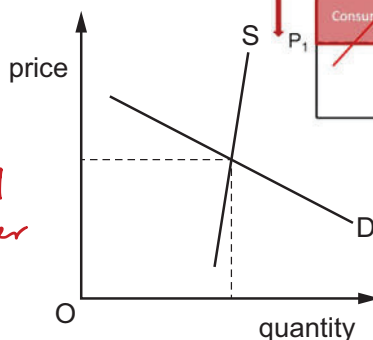
INELASTIC

ELASTIC



- 16 The diagram shows the market for heating oil.

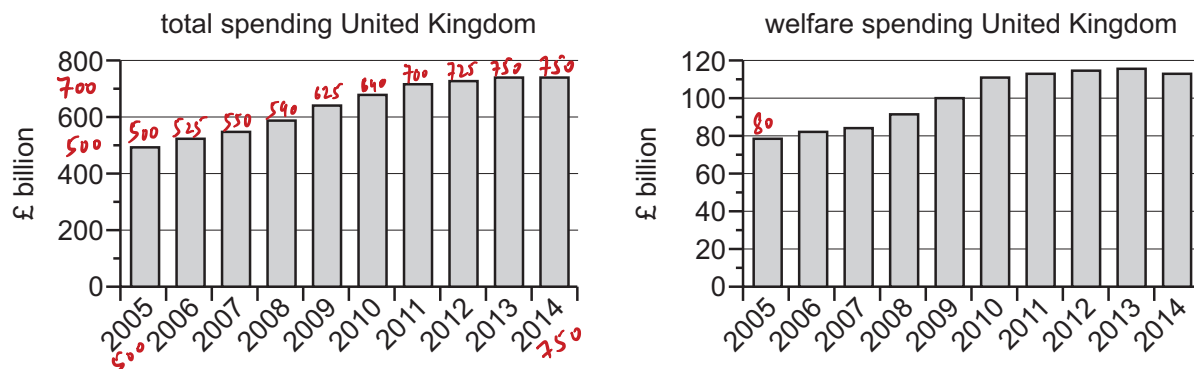
* Vertical distance between 2 supply curve is called per unit subsidy
* Per unit subsidy is divided into consumer and producer benefit



If the government introduces a production subsidy, how will the financial benefit be shared between consumers and producers?

- A It will be shared equally between producer and consumer. (Never)
B It will go entirely to the producer. (in case of perfectly elastic demand)
C The majority will go to the consumer. (in case of inelastic demand)
☒ D The majority will go to the producer.

- 17 The diagrams show UK Government total spending and welfare spending in £ billions between 2005 and 2014.



What can be concluded from the diagrams about UK Government spending during the period 2005 to 2014?

- A Both forms of spending were cut in 2014. (No) (constant in 2013 and 2014)
- B Both total and welfare spending have risen continuously. (No) (Fall in welfare in 2014)
- C In 2005 welfare spending made up a quarter of total spending. (No)
- ☒ D Non-welfare spending has always exceeded welfare spending. (Yes)
- 18 Health services in an economy are provided by private clinics that charge high fees. The government decides health services should be provided for everyone, not based on ability to pay.
- Which direct action should it take? ↳ Only government will provide
- A Build government clinics to compete in the market. (No)
- B Close private clinics where provision by the market is inadequate. (No)
- C Increase the taxes on profits made by private clinics. (No)
- ☒ D Nationalise private clinics and remove charging.
- ↳ Only through government
↳ Direct provision

Government - Tax
spending - revenue
↑

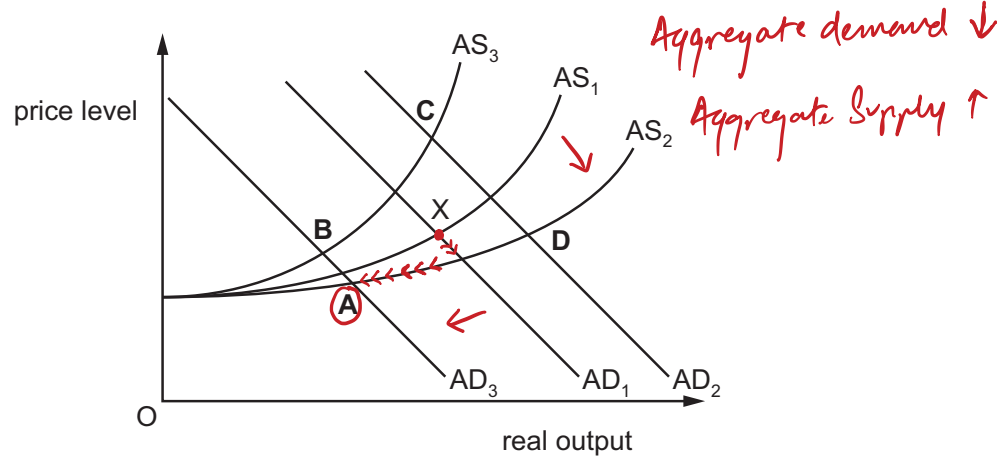
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AD ↓ (ADL)

- 19 In its recent budget a government reduced total expenditure while increasing the amount spent on training to increase the productivity of the workforce. The initial equilibrium point is shown by X on the aggregate demand (AD) and aggregate supply (AS) diagram.

Aggregate Supply ↑

What would be the equilibrium point after these changes?



Measure of inflation

- 20 The table shows the retail prices index for four countries for years 2 and 3. (Year 1 index = 100 for all countries.)

Which country had a higher rate of inflation in year 2 than year 3?

country	year 2 index	year 3 index
A	100	115
B	110	132
C	120	144
D	130	150

15%

20%

20%

15.4%

Higher in year 2

- 21 What does the current account of the balance of payments include?

- A government reserves and foreign aid
B government revenue and government spending
✓ C imports and exports of goods and services
D inflows and outflows of trade and capital

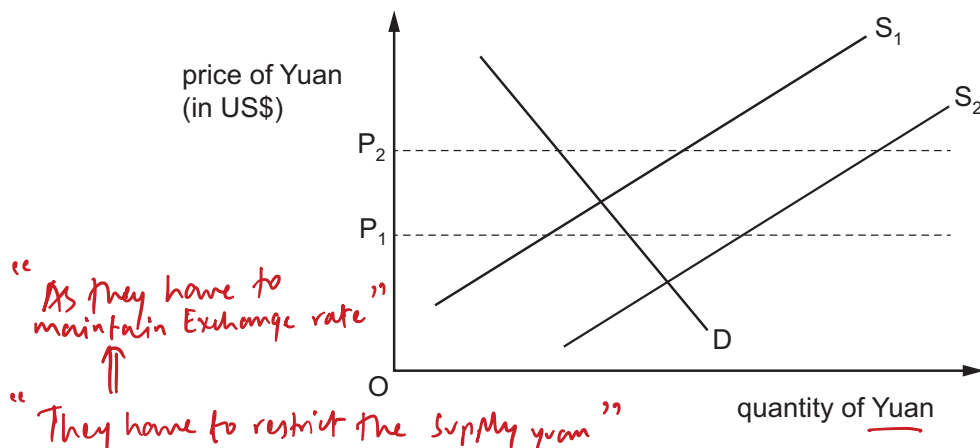
* The official reserves account, which is part of the financial account, is the foreign currency held by central banks, and is used to pay balance-of-payment deficits. Each account is further divided into sub-accounts.

Current account

- * Trade in goods (visible trade)
- * Trade in services (invisible trade)
- * Net incomes
- * Net Transfers

China Cumulative Balance of Payments from 1998 to Q3 2015	
Figures in USD billions	Cumulative
Current Account	
Trade Surplus	\$2,878
Primary Income	(355)
Secondary Income	262
Sub-Total: Current Account	\$2,785
Capital & Financial Account	
Foreign Direct Investment	\$1,960
Portfolio Investment	171
Other Investment	(828)
Sub-Total: Capital Account	\$1,303
Total Balance of Payments	\$4,088
Transfer to Foreign Reserves	(3,598)
Errors and Omissions	\$490

- 22 Assume the Chinese monetary authorities are committed to maintaining the exchange rate of China's currency, the Yuan, against the US\$ between P_1 and P_2 on the diagram.



What might they do if supply changed from S_1 to S_2 ?

- ✓ A introduce controls on Chinese investment overseas (less payment going abroad)
 B lower interest rates [Demand yuan ↓, Supply yuan ↑]
 C remove tariffs on imports from USA [more imports, Supply yuan ↑] Supply yuan ↓
 D sell Yuan on the foreign exchange markets [sell yuan, Supply yuan ↑]

- 23 In the UK in July 2014, $\text{£}1 = \text{US } \$1.71$.

By the end of August 2014, $\text{£}1 = \text{US } \$1.65$.

What is most likely to explain this?

- A an increase in UK exports (Appreciate)
 B an increase in UK interest rates (Appreciate)
 C increasing profitability of UK companies (Appreciate)
 ✓ D increasing size of UK national debt (more payments made, $\text{£} \uparrow \Rightarrow \text{Depreciates}$)
- | | |
|----------------------|-------------------|
| $\text{£}1 : \$1.71$ | |
| $\text{£}1 : \$1.65$ | |
| <u>Depreciate</u> | <u>Appreciate</u> |
| X prices ↓ | X prices ↑ |
| M prices ↑ | M prices ↓ |

- 24 Which formula is used to calculate a country's terms of trade?

- A index of export prices – index of import prices
 B index of import prices – index of export prices
 ✓ C $\frac{\text{index of export prices}}{\text{index of import prices}} \times 100$
 D $\frac{\text{index of import prices}}{\text{index of export prices}} \times 100$

★ What are 'Terms of Trade - TOT'? Terms of trade represent the ratio between a country's export prices and its import prices. The ratio is calculated by dividing the price of the exports by the price of the imports and multiplying the result by 100.

11

* A customs union was defined by the General Agreement on Tariffs and Trade as a type of trade bloc which is composed of a free trade area with a common external tariff. The participant countries set up common external trade policy, but in some cases they use different import quotas.

25 Country X forms a customs union with country Y.

X then ceases to produce its own cars and instead imports cars from Y. Country Y diverts some of its car exports to X from country Z.

How is this likely to affect car prices in X and Z?

	country X	country Z
A	decrease ✓	decrease
B	decrease ✓	increase ✓
C	increase	decrease
D	increase	increase ✓

Benefits of being part of custom union!

comparative advantage in cars
 → Shortage for country 'Z' ⇒ Demand ↑
 Quantity less available by country 'Y' for country 'Z'
 [Supply ↓]

26 The table shows the ability of two countries to produce two commodities when they use all of their resources for that product.

* Absolute advantage, in terms of Quantity
 * Comparative Advantage, Lower opportunity cost

country	maximum output of rice	maximum output of wheat
X	2000	2000
Y	4000	2000

* Country Y, lower opportunity cost in Rice
 * Country X, lower opportunity cost in wheat.

Which statement is correct?

- A Country X has an absolute advantage in wheat.
 B Country Y has an absolute advantage in wheat.
 ✓ C Country X has a comparative advantage in wheat.
 D Country Y has a comparative advantage in wheat.

Country X
 ↳ Wheat
 Rice : Wheat
 2000 : 2000
 1 : 1
 Country Y
 ↳ Rice
 Rice : Wheat
 4000 : 2000
 1 : 0.5

27 In 2014, Poland was the world's largest exporter of apples. 55% of the crop went to Russia. Then Russia banned the imports.

What would not have prevented the revenue of the Polish apple farmers falling dramatically?

- A The apple farmers found new markets in other countries. "55% is of Russia"
 B The apple farmers were able to store the harvest for sale later. (still revenue will fall)
 ✓ C The Polish Government placed a ban on imports of food from Russia. (Parallel action Taken)
 D The Polish Government established a scheme to buy apples and supply them to charities.

↳ No revenue

28 Monetary policy can be used to increase the level of business activity.

Which action illustrates this?

- A curbing consumption through controls on credit *C↓, AD↓, Downward multiplier*
- ☒ B lowering reserve requirements of banks to increase lending *More Borrowing, C↑, I↑, AD↑*
- C reducing government spending to achieve a budget surplus *G↓, AD↓, Downward multiplier*
- D stimulating company investments by increasing interest rates *R↑, C↓, I↓, AD↓, output↓*

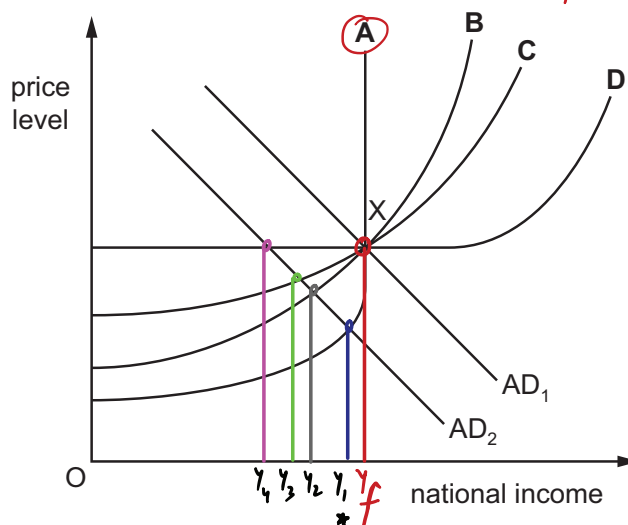
29 When will a country's balance of payments current account deficit be reduced?

- A when it lowers tariffs on its imports, *more imports, more deficit*
- ☒ B when it raises its rate of income tax *Tax↑, Disposable income↓, C↓, import Expenditure↓*
- C when it removes export subsidies *Exports expensive, Deficit↑*
- D when it revalues its currency *Appreciation, Export expensive, imports cheaper, deficit↑*

Expenditure Dampening / reducing policy

30 The diagram shows four possible aggregate supply curves and an equilibrium point X. A government employs deflationary fiscal policy in order to reduce the rate of inflation in its economy. This shifts aggregate demand to AD₂. *→ Target: AD↓ (Tax↑, G↓)*

With which AS curve would this policy be most effective? *[where national income falls the lowest]*



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